BrightPath Consulting & Trading

Accounting Cycle Case Study

Polished Student Submission

Reporting Period: January 1 - December 31, 2025
Prepared for instructional submission

Total Income	Total Expenses	Net Income	Ending Cash
$390,111.81	**$67,722.48**	**$322,389.33**	**$250,468.33**
Revenue and interest	Operating costs	Year-end profit	Cash - Checking

The submission below presents the full accounting cycle in a clean, student-ready format with supporting charts and summary tables.

1. Learning Objectives

- Trace business activity from source documents through journal entries, posting, trial balance, financial statements, and closing entries.
- Present the results in a neat format that is easy for a teacher to check and grade.
- Use charts and schedules to explain the year-end financial position of the business.

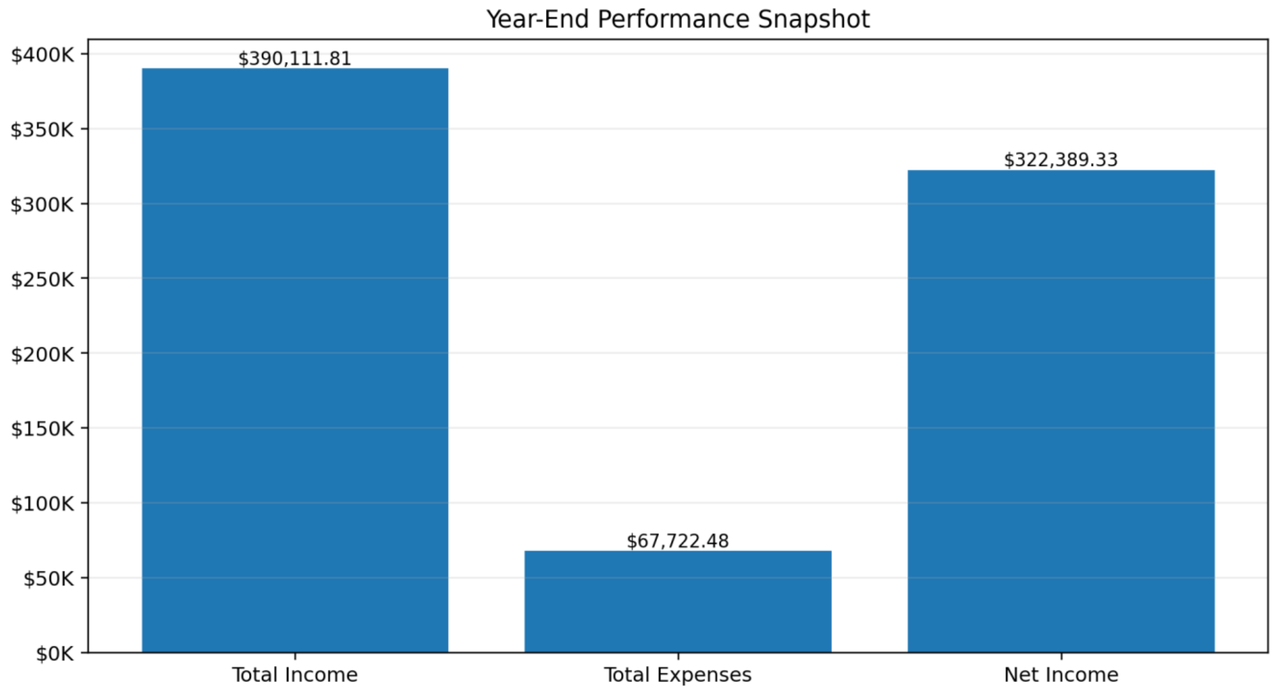
2. Business Profile

BrightPath Consulting & Trading is a sole proprietorship that began operations on January 1, 2025. The owner provides consulting services and also sells office and productivity supplies to corporate clients. Because this is the first year of operations, all beginning balance sheet accounts start at zero. The case follows the accrual basis of accounting, so revenue is recognized when earned and expenses are recognized when incurred.

Key Fact	Details
Legal form	Sole proprietorship
Fiscal year	January 1 - December 31, 2025
Owner's initial investment	$12,500.00
Primary bank account	Checking - Chase Bank
Basis of accounting	Accrual

3. Performance Snapshot

The first chart gives a quick view of the year-end result.

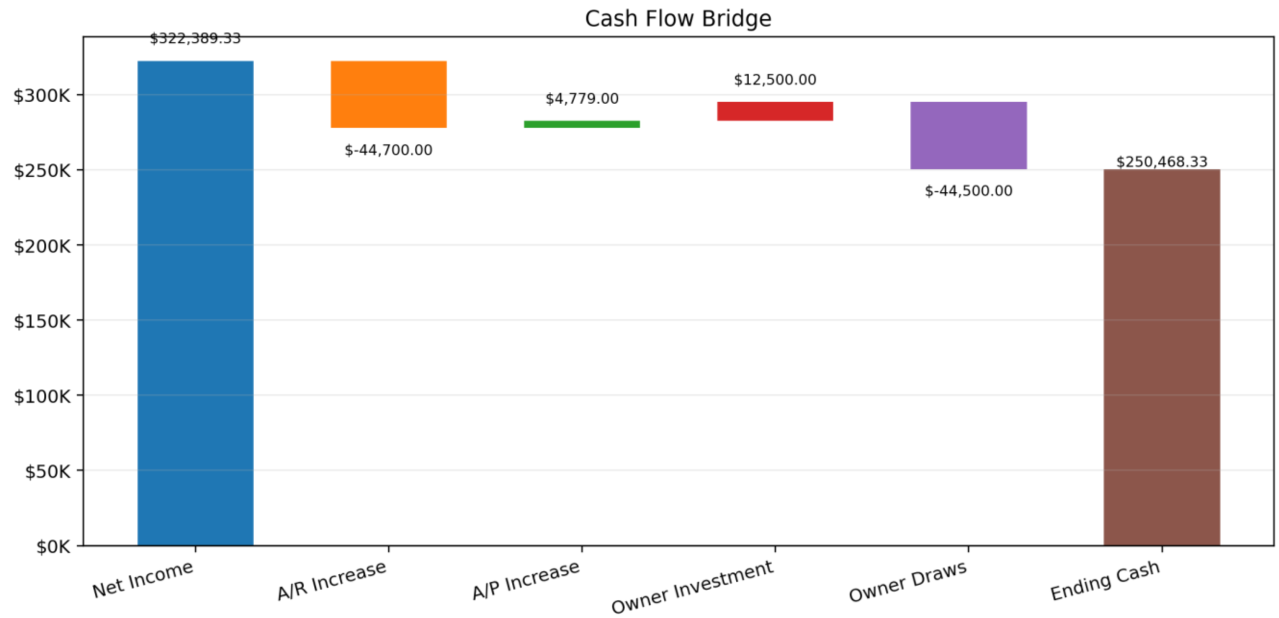


The business earned $390,111.81 in total income and recorded $67,722.48 in expenses, which produced net income of $322,389.33.

- The large gap between income and expenses indicates a very profitable first year.
- Consulting revenue and sales both contributed to the top line, while operating costs remained controlled.
- Net income stayed strong even after bank fees, rent, software, travel, and professional fees were recorded.

4. Cash Flow Bridge

This chart shows how net income turned into ending cash.

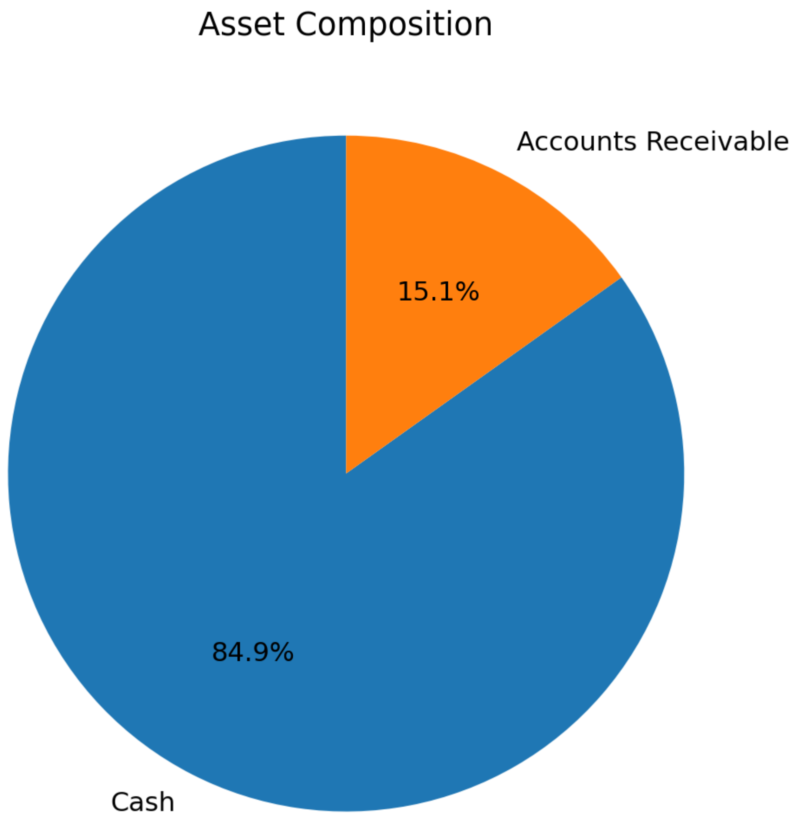


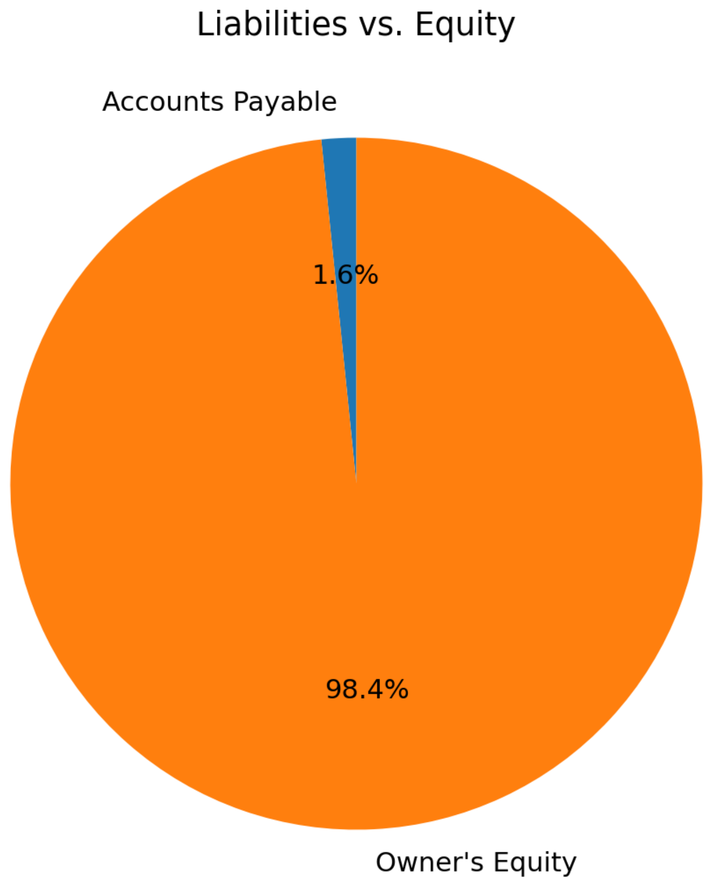
Ending cash of $250,468.33 reflects operating results, the increase in accounts receivable, the increase in accounts payable, the owner's investment, and owner draws.

- The bridge explains why cash differs from net income.
- Accounts receivable lowered cash because some sales were earned but not yet collected.
- Accounts payable increased cash because some expenses were incurred but not yet paid.

5. Balance Sheet Structure

The asset and financing charts show what the year-end balance sheet looks like at a glance.





Cash made up most of the assets, while owner’s equity made up most of the financing. That is consistent with a first-year business that accumulated profit faster than it paid out resources.

6. General Journal, Ledger, and Trial Balance

The entries below summarize the year in compact form.

Entry	Summary	Amount
Owner investment	Cash contributed to open the business	$12,500.00
Revenue earned	Consulting Revenue + Sales recorded on account	$390,010.00
Cash collections	Payments received from customers	$345,310.00
Operating expenses	All yearly operating costs and unpaid vendor bills	$67,722.48
Owner draws	Quarterly withdrawals by the owner	$44,500.00
Interest income	Bank interest credited to checking	$101.81

The trial balance was in balance at $407,390.81 on both sides, which confirms that the ledger postings were mathematically consistent.

Trial Balance Totals	Amount
Total Debits	$407,390.81
Total Credits	$407,390.81

7. Financial Statements

Income Statement

Line Item	Amount
Consulting Revenue	$17,570.00
Sales	$372,440.00
Total Income	$390,010.00
Total Expenses	$67,722.48
Net Operating Income	$322,287.52
Other Income - Interest	$101.81
Net Income	$322,389.33

Statement of Owner’s Equity

Line Item	Amount
Owner’s Equity, January 1, 2025	$0.00
Add: Owner’s Investment	$12,500.00
Add: Net Income	$322,389.33
Less: Owner’s Draws	$-44,500.00
Owner’s Equity, December 31, 2025	$290,389.33

Balance Sheet

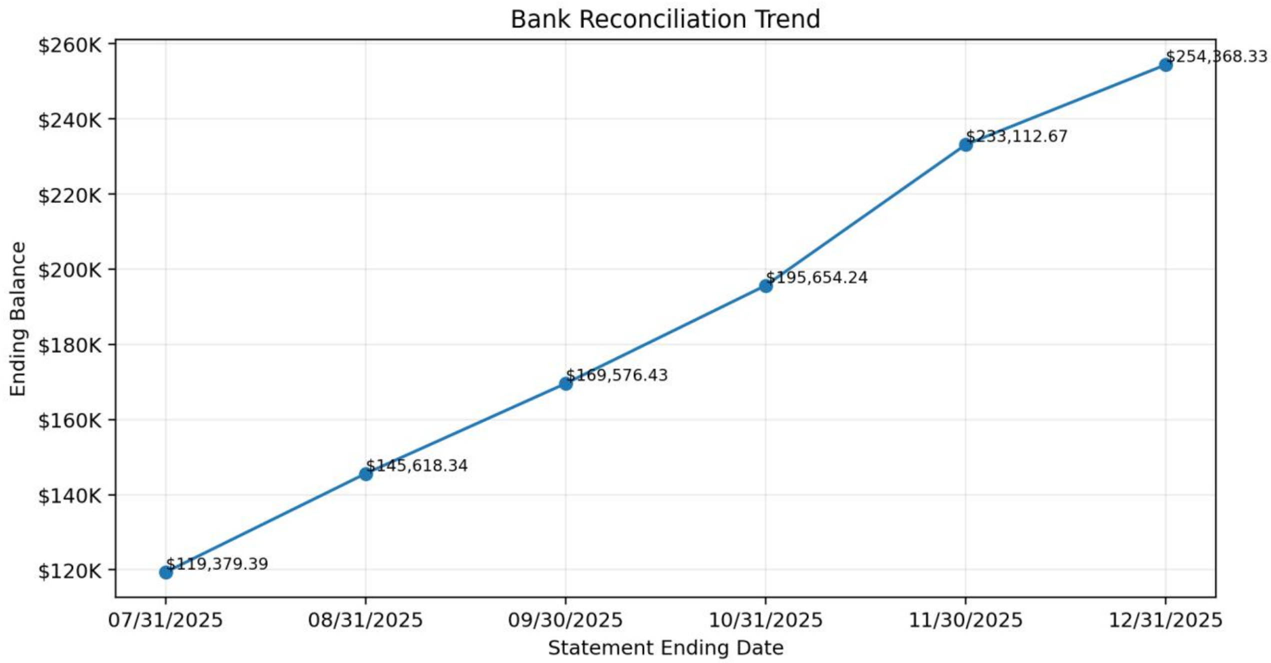
Line Item	Amount
Cash - Checking	$250,468.33
Accounts Receivable	$44,700.00
Total Assets	$295,168.33
Accounts Payable	$4,779.00
Total Liabilities	$4,779.00
Owner’s Equity	$12,500.00
Owner’s Draw	$-44,500.00
Net Income	$322,389.33
Total Equity	$290,389.33
Total Liabilities and Equity	$295,168.33

Statement of Cash Flows (Indirect Method)

Line Item	Amount
Net Income	$322,389.33
Increase in Accounts Payable	$4,779.00
Increase in Accounts Receivable	$-44,700.00
Net Cash Provided by Operating Activities	$282,468.33
Owner’s Draw	$-44,500.00
Owner’s Equity (investment)	$12,500.00
Net Cash Used in Financing Activities	$-32,000.00
Net Increase in Cash for Period	$250,468.33
Cash at Beginning of Period	$0.00
Cash at End of Period	$250,468.33

8. Supporting Schedules

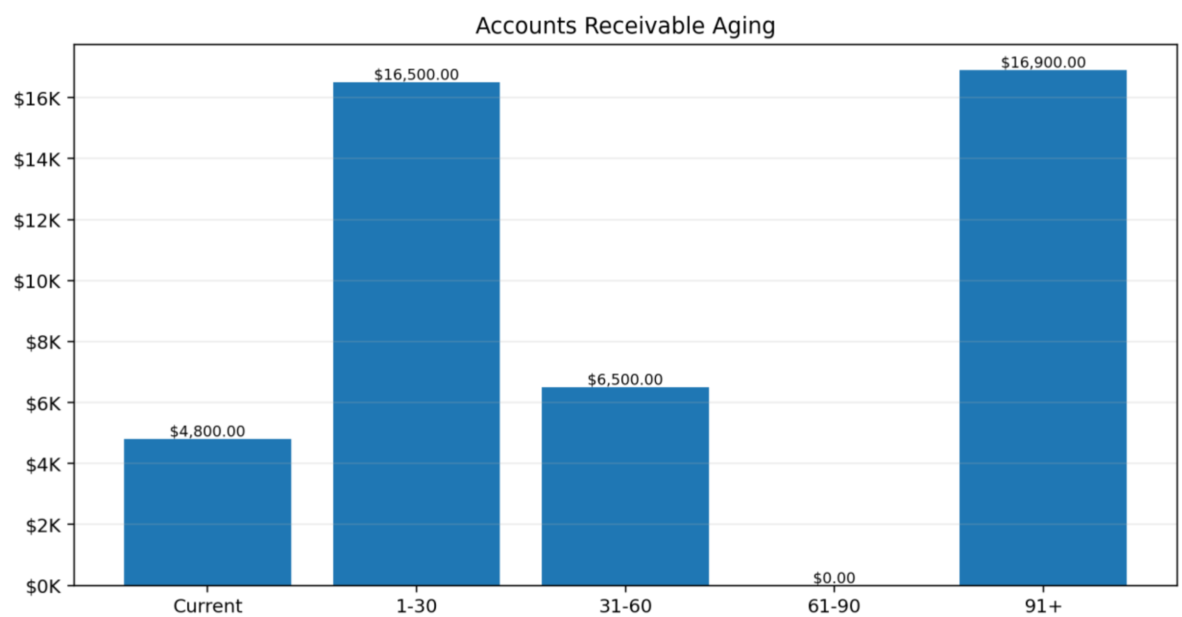
The schedules below explain the balances behind the financial statements.



The bank reconciliation stayed clean, with a $0.00 auto-adjustment each month.

- A zero auto-adjustment suggests disciplined reconciliation and no unexplained book-to-bank difference.

Accounts Receivable Aging



The aging schedule shows that $16,900.00 was over 90 days past due, which is a useful note for collection follow-up.

Accounts Payable Aging	Amount
Current	$2,320.00
1-30 days	$1,920.00
31-60 days	$120.00
Total	$4,779.00

The sales by customer report totaled $234,820.00 and can be used for customer-level review and follow-up.

9. Closing Entries and Post-Closing Trial Balance

The temporary accounts were closed at year-end so the next period can begin with clean balances.

Closing Step	Accounts	Amount
Close revenue accounts	Sales, Consulting Revenue, Other Income - Interest	$390,111.81
Close expense accounts	Advertising through Travel	$67,722.48
Close income summary to equity	Income Summary to Owner’s Equity	$322,389.33
Close owner draws	Owner’s Draw to Owner’s Equity	$44,500.00

After closing, only permanent accounts remained open.

Post-Closing Account	Amount
Cash - Checking	$250,468.33
Accounts Receivable	$44,700.00
Accounts Payable	$4,779.00
Owner’s Equity	$290,389.33
Total	$295,168.33

10. Conclusion

This case study presents a complete accounting cycle in a clear and organized way. The business generated strong revenue, managed expenses effectively, and ended the year with a healthy cash position.

The charts and schedules make the submission more polished and easier to understand, while the statements and closing entries show that the figures tie together properly from beginning to end.

As a student submission, this format is strong because it is neat, complete, and easy for a teacher to review quickly.